

Winding Tree

How to solve the issue of supplier verification in healthcare

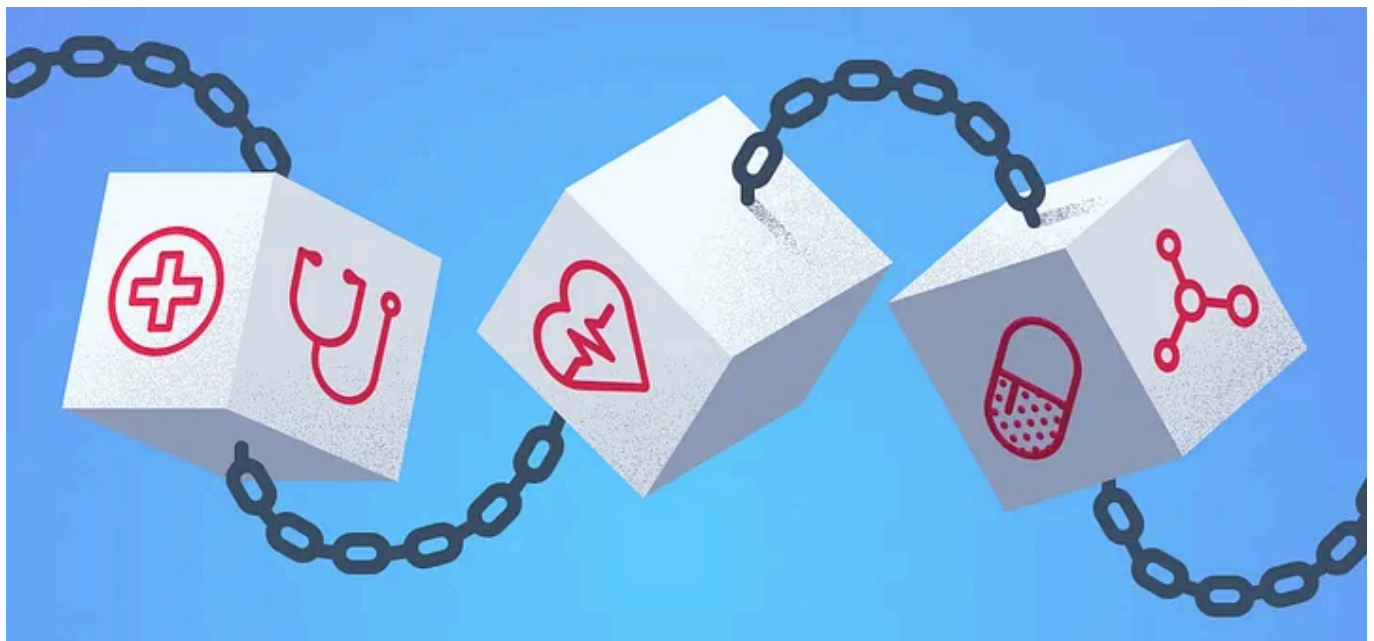


Spencer · Following

Published in Winding Tree · 5 min read · Apr 29, 2020



207



Things certainly have changed since we posted about [the growing importance of digital identification in global marketplaces](#). A global pandemic has shuttered economies worldwide, putting certain industries (especially the travel and hospitality industries) into a tailspin. Other industries, such as healthcare and its supply chain, are experiencing

unprecedented surges in demand — and facing new challenges in assuring the quality and safety compliance of their goods.

One thing that hasn't changed is the benefit of having trusted, verified digital IDs for businesses operating in global marketplaces. Here's how we can solve this problem for healthcare.

The impossible challenge of verifying suppliers during crises

Covid-19 has shifted priorities for companies all over the world. The spike in demand for healthcare supplies has created a gold rush, as legitimate suppliers pivot from other products to sell critical supplies, such as hand sanitizer, surgical masks, and other high-demand items. And, as is always the case during crises, many bad actors are also taking advantage of the confusion and chaos to scam and make money.

This issue has disproportionately impacted the healthcare industry, which relies on its suppliers to deliver gear that complies with global standards and keeps staff and patients safe. *The New York Times* reports that “it's bedlam in the mask market, as profiteers out-hustle Good Samaritans.”

Amidst the rush to supply a market with explosive demand, “scams and prices are soaring,” as “hospitals, governments, do-gooders, and hucksters are all competing” for the same constrained supply.

“Hospital executives said that while they appreciated the surge of well-intentioned people, they were overwhelmed with new names in their inboxes, all offering products they need for prices far higher than what they typically pay.” -NY Times

With so many new suppliers popping up to serve this crushing demand, it's hard to tell who is legit and who isn't. These new entrants don't have any pre-existing relationships with hospital procurement departments, medical providers, government agencies, and other essential businesses looking for

protective gear. Even if the supplier is legitimate, there's no one to vouch for them. There's no trust.

And yet, in desperate need of equipment, procurement departments face a terrible choice: take a risk on an unknown vendor or run out of essential protective gear. Everyone must decide how much to trust an individual/company on a case-by-case basis, Ed Bonetti Head of supply chain for the UMass Memorial Hospital Network in Massachusetts, told the NY Times:

“We’re getting bombarded. You’re in this uncharted territory where you’re struggling to just at least validate. The last thing we want to do is put product on a clinician that is not going to protect them.”

It's obvious that the current approach is unable to handle spikes in demand and relies too much on personal relationships within a complex global supply chain. It can't flex and scale without sacrificing trust.

We must evolve our approach to include a shared system for trust and verification. We need a system that evokes confidence and helps everyone know who they're doing business with so we can prevent scammers from taking advantage of crises to make money.

For departments seeking legitimate suppliers, such a system would not just help navigate pandemic-level bedlam but also dramatically improve everyday sourcing post-crisis.

How ORG.ID could secure trust across the supply chain

Supplier verification is an essential piece of the supply chain for healthcare procurers, manufacturers, and intermediaries. In good times, it's already hard enough for procurement officers to source quality gear that complies with relevant global safety standards. That problem magnifies exponentially in a global crisis defined by an influx of new suppliers attracted by the higher prices triggered by surging demand.

That's where we see a fantastic use case for ORG.ID, which we created for the travel and hospitality industries. ORG.ID is a decentralized digital identification platform controlled by its participants rather than a central authority; it provides three essential components of a digital marketplace:

1. **Traceability**, or the ability to track a product's path through the supply chain to assure the quality by proving its origins and to monitor for price gouging by seeing which intermediaries are involved.
2. **Verification**, or the ability to verify the identity of suppliers and intermediaries, learn more about their reputations and thus only do business with real, reputable, trusted enterprises.
3. **Arbitration**, or a shared system to resolve disputes so that each participant knows the rules of engagement — and has clear recourse when something goes awry.

With these three components, a marketplace has a level of transparency and trust that simultaneously reduces fraud (by making it less appealing to bad actors) and increases adoption (by providing a trusted place to do business).

Imagine this true-life scenario pulled from the *NY Times* article: your hospital has been approached by Dan Schonfeld, who leveraged his connections with Chinese suppliers for his pool supply company to produce masks for hospitals. Desperate for masks, would you make a deal with Dan? Here's the dilemma :

But executives who had expressed such desperation for masks were suddenly wary of turning over \$270,000 to a man who was selling pool parts just days before. One replied "We just don't know you," Mr. Schonfeld said. "It turned into me needing help."

This dilemma could be solved with a trustworthy system to prove Dan's identity, including his reputation and sales/relationship history with other businesses. That way, if one company is burned by a scammer or

unscrupulous business, that information can be easily shared with others to create an Immutable record of a business' trustworthiness.

In times of distress and global crisis, chaos and confusion often reign. ORG.ID's structured, participant-driven and authority-agnostic system builds trust and prevents bad actors from selling dangerous products that put others in danger — and doing so at a ridiculous markup that drains resources and prevents critical supplies from getting to those who need them the most.

Looking ahead

As the world looks ahead to building a more resilient system for our post-pandemic world, we must prioritize trust. We need digital IDs that give businesses the control, transparency, and flexibility to navigate the global marketplace with confidence. These IDs, decoupled from a single central authority's purview, can signal trust in global marketplaces defined by remote relationships and transactions with distant business entities.

Trust is the currency of our complex, interconnected global supply chain — especially when it comes to life-saving equipment and health-related supplies. Yet, in times when we need it the most, trust may be harder than ever to secure. By developing a decentralized system that evolves to reflect the needs of its participants, the healthcare industry can ensure that its supply chain delivers the quality goods it needs — while freezing out the scammers and unscrupulous businesses.

Sign up to our newsletter to stay up-to-date with the latest. We have many exciting announcements coming in the next few months!

Healthcare

Decentralized

Blockchain

Ethereum

Wtthought



Published in **Winding Tree**

1.7K followers · Last published May 5, 2024

Following

Decentralized Travel Distribution



Written by **Spencer**

70 followers · 7 following

Following



No responses yet



Maksim Izmaylov

What are your thoughts?